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No. 95-354

IN THE  
**Supreme Court of the United States**  
OCTOBER TERM, 1995

JAMES O'CONNOR,

*Petitioner,*

v.

CONSOLIDATED COIN CATERERS CORPORATION,

*Respondent.*

On Writ of Certiorari to the  
United States Court of Appeals  
for the Fourth Circuit

**BRIEF AMICI CURIAE OF THE  
AMERICAN ASSOCIATION OF RETIRED PERSONS  
AND THE NATIONAL EMPLOYMENT LAWYERS  
ASSOCIATION IN SUPPORT OF PETITIONER**

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**QUESTION PRESENTED**

Is a *prima facie* case of age discrimination precluded by the fact that the employee who secures the job that the claimant was denied is within the class of persons protected against age discrimination?

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LAWYERS ASSOCIATION  
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INTERESTS OF *AMICI CURIAE*

The American Association of Retired Persons (AARP) is a nonprofit membership organization of persons age 50 and older that is dedicated to addressing the needs and interests of older Americans. AARP seeks through education, advocacy, and service to enhance the quality of life for all by promoting independence, dignity, and purpose.

More than one-third of AARP's thirty-two million members are employed individuals, most of whom are protected by the Age Discrimination in Employment Act, 29 U.S.C. § 621 *et seq.*, (ADEA).

One of AARP's primary objectives is to strive to achieve dignity and equality in the work place through positive attitudes, practices, and policies regarding work and retirement. Through its research, publications, and training programs, AARP seeks to eliminate ageist stereotypes, to encourage employers to hire and retain older workers, and to help older workers overcome the obstacles they face because of age.

AARP seeks to insure that older persons are judged on their ability, not age. To this end, AARP created a Worker Equity Initiative in 1985 to study and address issues affecting the employment of older persons. AARP has developed educational and advocacy programs to encourage and promote the employment of older persons. As part of its advocacy efforts, AARP has filed more than 100 *amicus curiae* briefs in the United States Supreme Court, federal appellate and district courts, and state courts regarding the proper interpretation and application of the federal and state discrimination laws to insure that the rights of older workers are fully protected.

The National Employment Lawyers Association (NELA) is a national bar association of over 2,000 lawyers who regularly represent employees in employment-related disputes. NELA members comprise a large segment of the leaders of the bar specializing in employment law on behalf of employees. NELA members regularly handle age discrimination cases.

In light of its interest in the application of employment law, NELA has previously filed *amicus curiae* briefs with the United States Supreme Court, as well as the federal Circuit Courts of Appeals, and various state Supreme Courts.

Because of its practical experience with the issues at bar, NELA is well-suited to brief this Court on the importance of the issues and the practical effects of the Court's decision beyond the immediate concerns of the parties.

Both *amici* are vitally interested the proper formulation and application of the requirements for a *prima facie* case of age discrimination.

### SUMMARY OF ARGUMENT

In the typical employment discrimination suit, the plaintiff is able to present circumstantial, but not direct evidence of discrimination. In the absence of direct evidence, the *prima facie* case functions as a framework for establishing a rebuttable presumption of discrimination, thus compelling a response from defendant.

Because no single formulation of the *prima facie* showing can possibly be expected to capture the many guises in which such discrimination can occur, and because plaintiff's burden is light, this Court has repeatedly emphasized that one acceptable framework, its *McDonnell Douglas* model, is, of necessity, a flexible test, adaptable to different factual situations. Ignoring this principle, the court below rigidly applied an adaptation of *McDonnell Douglas* for ADEA discharge cases that requires as its fourth element a showing that the discharged employee was replaced by someone outside the protected age group. The court held that because

the 56 year old petitioner's replacement was 40 years old, just within the age group protected by the ADEA, petitioner could not, as a matter of law, make the required *prima facie* showing and granted summary judgment for defendant.

Finding that petitioner's evidence failed to satisfy even its relaxed *prima facie* standard applicable to reduction-in-force cases, the court below improperly relied on evidence relevant to respondent's rebuttal, while essentially ignoring the probative value of plaintiff's circumstantial evidence. Finally, because of its too rigid adherence to the formulaic approach, the court below essentially ignored petitioner's direct evidence of discriminatory intent.

### ARGUMENT

#### I. REPLACEMENT BY A MEMBER OF THE PROTECTED CLASS IS NOT AN ESSENTIAL ELEMENT OF A *PRIMA FACIE* CASE OF AGE DISCRIMINATION UNDER THE *MCDONNELL DOUGLAS* PROOF PARADIGM.

##### A. Purpose Of The *Prima Facie* Case.

Since in the typical employment discrimination case direct evidence may be unobtainable, this Court developed the *McDonnell Douglas prima facie* framework for evaluation of the available circumstantial evidence. The *prima facie* case

is based on the notion that, by ruling out the more obvious job-related reasons for [the employer's decision, an employment discrimination] complainant can create an inference of some tainted reason, *i.e.*, some discriminatory reason, sufficient to require the

employer to articulate a legitimate reason for [the employment decision.]"

*Loeb v. Textron, Inc.*, 600 F.2d 1003, 1013 (1st Cir. 1979). It is, therefore, the first step in "sharpen[ing] the inquiry into the elusive factual question of intentional discrimination." *Texas Dept of Community Affairs v. Burdine*, 450 U.S. 248, 255 n. 8. (1981).

In an ADEA case alleging discriminatory discharge, plaintiff's ultimate burden is to prove by a preponderance of the evidence that age was a motivating factor in the employer's decision to discharge him. *Hazen Paper Co. v. Biggins*, \_\_\_ U.S. \_\_\_, 113 S. Ct. 1701, 1706 (1993). Plaintiff's proof may consist of direct or circumstantial evidence. *United States Postal Service Bd. of Governors v. Aikens*, 460 U.S. 711, 714 n. 3 (1981). Direct evidence is not required because "it is often unavailable or difficult to find." *Chipollini v. Spencer Gifts, Inc.*, 814 F.2d 893, 897 (3d Cir.), *cert. dismissed*, 483 U.S. 1052 (1987). "Employers are rarely so cooperative as to include a notation in the personnel file, 'fired due to age'; or to inform a dismissed employee candidly that he is too old for the job." *Thornbrough v. Columbus and Greenville Railroad Co.*, 760 F.2d 633, 638 (5th Cir. 1985). Therefore, most employment discrimination plaintiffs must rely on circumstantial evidence because direct evidence is unobtainable. "Even an employer who knowingly discriminates on the basis of age may leave no written records and may communicate it orally to no one." *LaMontagne v. American Convenience Products, Inc.*, 750 f.2d 1405, 1410 (7th Cir. 1984). Because "[t]here will seldom be 'eyewitness' testimony as to the employer's mental

process," this Court in *McDonnell Douglas v. Green*<sup>1/</sup> "devised a framework that would allow both plaintiffs and the courts to deal effectively with employment discrimination revealed only through circumstantial evidence." *Aikens*, 460 U.S. at 716.

The court below acknowledged that in accordance with its decision in *EEOC v. Clay Printing Co.*, 955 F.2d 936, 940 (4th Cir. 1992), an ADEA plaintiff "may meet this burden under the ordinary standards of proof by direct or indirect evidence relevant to and sufficiently probative of the issue." In the alternative, an ADEA plaintiff may, as O'Connor did, "resort to the proof scheme articulated for Title VII cases in *McDonnell Douglas v. Green*,"<sup>2/</sup> "- properly adapted - for application to ADEA litigation." *Lovelace v. Sherwin-Williams Co.*, 681 F.2d 230, 239 (4th Cir. 1982).

In *McDonnell Douglas*, this Court specified "the basic allocation of burdens and order of presentation of proof in a Title VII case alleging discriminatory treatment."<sup>3/</sup> In a unanimous opinion by Mr. Justice Powell, the Court in *McDonnell Douglas* held that plaintiff bears the burden of establishing a *prima facie* case of discrimination and that "[t]his may" - not *must* - "be done" by showing

- (i) that he belongs to a racial minority; (ii) that he applied and was qualified for a job for which the

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<sup>1/</sup> 411 U.S. 792 (1973).

<sup>2/</sup> *O'Connor v. Consolidated Coin Caterers Corp.*, 56 F.3d 542, 545 (4th Cir. 1995).

<sup>3/</sup> *Texas Dept of Community Affairs v. Burdine*, 450 U.S. 248, 252 (1981).

employer was seeking applicants; (iii) that, despite his qualifications, he was rejected; and (iv) that, after his rejection, the position remained open and the employer continued to seek applicants from persons of complainant's qualifications.<sup>4/</sup>

In *Loeb*, 600 F.2d at 1014, the First Circuit explained that *McDonnell Douglas*

addresses two problems that exist in most employment discrimination cases: (1) direct evidence of discrimination is likely to be unavailable, and (2) the employer has the best access to the reasons that prompted him to fire, reject, discipline or refuse to promote the complainant.... Proof of the *McDonnell Douglas*-type *prima facie* case assures the plaintiff his day in court despite the unavailability of direct evidence, and entitles him to an explanation from the defendant-employer for whatever action was taken.

"The burden of establishing a *prima facie* case of disparate treatment is not onerous." *Burdine*, 450 U.S. at 253. Neither is the burden cast on defendant once plaintiff makes the required showing. If proven, the *prima facie* case does not establish the fact of a discriminatory motive requiring a directed verdict for plaintiff; rather, it establishes a rebuttable factual presumption of discrimination which requires the defendant to produce some admissible evidence of (but not to prove by a preponderance) a legitimate, nondiscriminatory reason for plaintiff's termination. *Id.*, at 254. *McDonnell*

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<sup>4/</sup> 411 U.S. at 802 [emphasis supplied].

*Douglas* "does not alter the traditional burdens of proof in civil litigation, and is not intended to deflect the factfinder from the central issue of whether the employer was motivated by discriminatory factors." *Loeb*, 600 F.2d at 1015. Plaintiff's *prima facie* showing places upon the defendant merely "the burden of producing an explanation to rebut the *prima facie* case ...." *St. Mary's Honor Center v. Hicks*, \_\_\_ U.S. \_\_\_, 113 S. Ct. 2742, 2747 (1993).

The issue raised by this case is whether the particular adaptation of *McDonnell Douglas* applied by the Fourth Circuit to the circumstances of this case comports with the purpose of the *prima facie* case, which is "to sharpen the inquiry into the elusive factual question of intentional discrimination." *Burdine*, 450 U.S. at 255 n. 8.

**B. The Lower Court's Adaptation Of The Fourth McDonnell Douglas Element To Require Proof In An ADEA Discharge Case That Plaintiff's Replacement Is Outside The Protected Age Group Vitiates The Purpose Of The *Prima Facie* Case.**

The insistence by the court below that where the plaintiff alleges that he was discharged due to age<sup>5/</sup> the fourth element

<sup>5/</sup> Although this Court has not had occasion to hold that *McDonnell Douglas* applies to suits under the ADEA, because every circuit court of appeals has so held, the Court has acknowledged that the *McDonnell Douglas* "framework has gained wide acceptance, not only in [Title VII cases], but also in similar cases, such as those alleging age discrimination under the Age Discrimination in Employment Act of 1967." *Hicks*, 113 S. Ct. at 2757 (Souter, J., dissenting). See also *Trans World Airlines v. Thurston*, 469 U.S. 111, 121 (1985). See, e.g., *Loeb v. Textron, Inc.*,

of the *prima facie* case can be satisfied only by a showing that plaintiff was replaced by someone outside the protected age group thwarts the purpose of the *McDonnell Douglas* paradigm.

The *prima facie* case requires that plaintiff make only a threshold showing of discriminatory treatment. Therefore, he "should not be forced to anticipate every possible reason his employer could provide for his discharge and incorporate responses to all of these hypothetical reasons into his *prima facie* case." *Gadsby v. Norwalk Furniture Corp.*, 1995 U.S. App. LEXIS 35229 (7th Cir. 1995), at 31 (Flaum, Circuit Judge, concurring).<sup>6/</sup> For example, in many discharges, the terminated older employee is not immediately replaced or is

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600 F.2d 1003 (1st Cir. 1979) (Nothing in the ADEA or its legislative history contradicts the conclusion that the same methods and burdens of proof apply under the ADEA as under Title VII.).

<sup>6/</sup> *Gadsby* and the present case, among others, illustrate the struggle of the lower courts to adapt the fourth element of the *McDonnell Douglas* proof scheme to the ADEA because of the varying contexts in which age discrimination arises. [Age "[d]iscrimination, unfortunately, exists in forms as myriad as the creative perverseness of human beings can provide." *McCorstin v. United States Steel Corp.*, 621 F.2d 749, 753 (5th Cir. 1980)]. In *Gadsby*, a single discharge case where plaintiff was not replaced, the court sidestepped the more fundamental question of whether proof of actual replacement is required at all, but "declined to hold that the [less stringent] RIF standard applies." 1995 U.S. App. LEXIS 35229, at 21. In *O'Connor*, the court below felt constrained to apply its age 40 replacement test (which assumes a showing of replacement is required to satisfy the fourth element) and, like *Gadsby*, declined to apply its similar, less stringent reduction-in-force test, finding petitioner's evidence would be insufficient to meet even that relaxed standard. As discussed, herein, however, petitioner's evidence is much stronger and much more probative of age discrimination than was *Gadsby's*.

not replaced at all.<sup>27</sup> Thus, the characteristics of the replacement will have no bearing on the employer's discriminatory intent to discharge the older employee at the time of the discharge. Indeed, this Court's *McDonnell Douglas* formulation of the plaintiff's *prima facie* case does not require the plaintiff to show anything about the actual person hired or that the hiree was outside the protected class.

The *prima facie* case properly must focus on the treatment of the plaintiff at the time of the challenged employment decision. As this Court emphasized in *Price Waterhouse v. Hopkins*, 490 U.S. 228, 241 (1989): "The critical inquiry, the one commanded by the words of [the federal antidiscrimination statute], is whether an [unlawful criterion] was a factor in the employment decision *at the moment it was made*." The Court explained that "in saying that [an unlawful criterion] played a motivating part in an employment decision, we mean that, if we asked the employer at the moment of the decision what its reasons were and if we received a truthful response, one of those reasons would be that the applicant or employee was a [member of a protected group]." *Price Waterhouse*, 490 U.S. at 246, n. 11.

In other words, the *prima facie* case is a snapshot of the employee's treatment taken at the time of discharge. There may be other interpretations and explanations of the picture it presents, but such evidence is relevant to the employer's

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<sup>27</sup> As discussed in section I.C. below, the Fourth Circuit has held previously that even in a case involving the demotion and immediate replacement of a protected-age store manager, the age of the replacement is not an essential element of an ADEA claim. *Lovelace v. Sherwin-Williams Co.*, 681 F.2d 230, 237-38 n. 5 (4th Cir. 1982).

rebuttal and, ultimately, to the plaintiff's proof of pretext, not to the *prima facie* case.

### C. The Fourth Element Of The *Prima Facie* Case Must Be Flexible.

This Court has repeatedly emphasized that its decision in *McDonnell Douglas* "did not purport to create an inflexible formulation," *International Brotherhood of Teamsters v. United States*, 431 U.S. 324, 358 (1977); *Furnco Const. Corp. v. Waters*, 438 U.S. 567, 575 (1978) ("This, of course, was not intended to be an inflexible rule.") In the *McDonnell Douglas* opinion, immediately after setting forth the elements of the *prima facie* case applicable to the facts before the Court, Justice Powell added the caveat that

The facts necessarily will vary in Title VII cases, and the specification above of the *prima facie* proof required from respondent is not necessarily applicable in every respect to differing factual situations.<sup>28</sup>

In *Furnco*, 438 U.S. at 577, this Court further cautioned that the *McDonnell Douglas prima facie* case must not be employed in a "rigid, mechanized, or ritualistic" manner because it is

merely a sensible, orderly way to evaluate the evidence in light of common experience as it bears on the critical question of discrimination. A *prima facie* case under *McDonnell Douglas* raises an inference of discrimination only because we presume these acts, if

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<sup>28</sup> *McDonnell Douglas v. Green*, 411 U.S. 792, 802 n. 13 (1973).

otherwise unexplained, are more likely than not based on the consideration of impermissible factors.

Neither did the Court intend that *McDonnell Douglas* would be the exclusive method of establishing a *prima facie* case of individual discrimination. *Teamsters*, 431 U.S. at 358. Thus:

The importance of *McDonnell Douglas* lies, not in its specification of the discrete elements of proof there required, but in its recognition of the general principle that any [employment discrimination] plaintiff must carry the initial burden of offering evidence adequate to create an inference that an employment decision was based on a discriminatory criterion illegal under the Act.

*Id.*

The Fourth Circuit has acknowledged that "[i]t was never intended that a 'prima facie case' of employment discrimination could be established only by mechanically applying the precise requirements set forth in *McDonnell Douglas*." *EEOC v. Western Elec. Co., Inc.*, 713 F.2d 1011, 1014 (4th Cir. 1983). Rather,

because of the comparable remedial purposes of [Title VII and the ADEA] and the comparable difficulty under both of proving discriminatory motivation, the judicially created proof scheme for Title VII cases featuring a rebuttable factual presumption favoring claimants in the initial stages of proof is appropriate - *properly adapted* - for application in ADEA litigation.

*Lovelace*, 681 F.2d at 239 [emphasis supplied].

The Fourth Circuit's restrictive adaptation of the *McDonnell Douglas* paradigm for the "usual ADEA case," *EEOC v. Western Elec. Co., Inc.*, 713 F.2d at 1014, in which the fourth element mandates "replace[ment] by someone of comparable qualifications outside the protected class"<sup>9/</sup> supposedly "was intended to demonstrate unequal treatment by the relatively objective evidence of replacement by a member of a non-protected class." *Id.*, at 1014-15. However, the court below has transmuted that simple intention into mechanistic application of a method of proof which confines plaintiffs in discharge cases to a straitjacket<sup>10/</sup> and which vitiates the purpose of the *prima facie* case - to insure that victims of discrimination have their day in court. See *Trans World Airlines, Inc. v. Thurston*, 469 U.S. 111, 121 (1985).

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<sup>9/</sup> As discussed above, Justice Powell's formulation of the elements of the *prima facie* case in *McDonnell-Douglas* did not include a showing of replacement by a person outside the protected class. 411 U.S. at 802.

<sup>10/</sup> The parties and the district court characterized the facts as presenting a reduction-in-force case, *O'Connor*, 56 F.3d at 546. Nevertheless, the court below, struggling to fit the somewhat awkward facts of this case into a familiar formulation for analysis, found that because the reduced "force" in this case consisted of two people - plaintiff and one other employee - and because plaintiff could point to his replacement - the less stringent reduction-in-force paradigm was "inapt." Therefore, the court felt constrained to employ the more restrictive discharge/replacement rubric. *O'Connor*, 56 F.3d at 546. However, the elements of the *prima facie* case which plaintiffs must prove should not depend on a court's *post hoc* characterization of the facts to fit a particular model; rather, the *prima facie* model should be flexible enough to accommodate the facts themselves.

In *Lovelace*, an ADEA case arising from the demotion of a protected-age store manager and his replacement by a younger man who was also in the protected age group, the Fourth Circuit took a position completely opposite from that espoused in the opinion below. The *Lovelace* court stated that

an ADEA claim involving replacement by another *does not require as a matter of law proof that the other was outside the protected age group*. But absolute and relative ages of the claimant and his replacement have obvious relevance in assessing whether a factual inference of age discrimination is permissible.

*Lovelace*, 681 F.2d at 242 n. 13 [emphasis supplied]. Going a step further, the Fourth Circuit in *Lovelace*, 681 F.2d at 237-8 n. 5, "agree[d]" that replacement "by a person outside the protected age group . . . is not [even] an essential legal element of the ADEA claim. . . ." The *Lovelace* court specifically pointed out, 681 F.2d at 242-3 n. 13, its agreement with the analysis of the First Circuit in *Loeb*, 600 F.2d at 1013 n. 9:

Replacement of a 60 year old by a 35 year old or even a 45 year old within the protected class would be more suggestive of discrimination than replacement of a 45 year old by a 42 year old within the protected class or a 39 year old outside it.

*Lovelace*, 681 F.2d at 242-43 n. 13.

In the opinion below, without overruling *Lovelace* or even attempting to rationalize the conflict between its present decision and its above-described earlier analysis of the fourth

*prima facie* element, the court incorrectly stated that "Fourth Circuit precedent has required a plaintiff to demonstrate that his replacement was outside the protected class to satisfy that element," 56 F.3d at 546 n. 1, citing its decision in *EEOC v. Clay Printing Co.*, 955 F.2d 936, 943 (4th Cir. 1992). *Clay*, however, was a reduction-in-force case which applied the much less restrictive test of *Herold v. Hajoca Corp.*,<sup>11</sup> "that persons outside the protected class were retained in the same position or that there was some other evidence indicating that the employer did not treat age neutrally in deciding to dismiss the plaintiff." Even *EEOC v. Western Elec. Co., Inc.*, 713 F.2d 1011 (4th Cir. 1983), in which the Fourth Circuit announced the rule applied below, was a reduction-in-force case to which the rule did not apply.

Thus, despite the Fourth Circuit's protestations that its decision was circumscribed by its own precedents, *O'Connor* is the first case to which that court has applied its unduly restrictive formulation of the fourth element to deny an ADEA discharge plaintiff a trial by jury.<sup>12</sup>

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<sup>11</sup> 864 F.2d 317, 320 (4th Cir.), *cert. denied*, 490 U.S. 1107 (1988).

<sup>12</sup> However, because "the age of a replacement employee should be a relevant, but not dispositive, factor for a court to consider when deciding whether the plaintiff has established a *prima facie* case under the *McDonnell Douglas* framework," the majority of the circuit courts have rejected the "absolute requirement" of showing replacement from outside the protected age group in favor of a showing that the replacement was merely younger. *O'Connor*, 56 F.3d at 550-51 (Butzner, Senior Circuit Judge, concurring in part and dissenting in part.).

**II. TO REQUIRE ADEA DISCHARGE PLAINTIFFS TO SHOW A REPLACEMENT OUTSIDE THE PROTECTED CLASS IS CONTRARY TO THE STATUTORY PURPOSE OF THE ADEA.**

**A. In Enacting The ADEA, Congress' Purpose Was To Prohibit Employers From Using Age As A Determining Factor In Employment Decisions.**

The purposes of the ADEA are set forth in the first section of the Act:

to promote employment of older persons based on their ability rather than age; to prohibit arbitrary age discrimination in employment; to help employers and workers find ways of meeting problems arising from the impact of age on employment.

29 U.S.C. § 621(b). The statutory language adopted by Congress to implement this purpose is that work place discrimination against "any individual...because of such individual's age" is unlawful. 29 U.S.C. § 623. The statute says nothing about the age of others. Rather, in the circumstances of this case, it commands an examination of the employer's actions in order to determine if the individual employee's age was a motivating factor in the decision to discharge him.

Although the text of the ADEA does not address the narrow question presented by this case, the legislative history of the Act speaks to it directly and forcefully. Senator Javits, one of the sponsors of the ADEA, stated:

Section 4 of the Bill [29 U.S.C. § 623] specifically prohibits discrimination against any "individual" because of his age. It does not say that the discrimination must be in favor of someone younger than age 40. In other words, if two individuals ages 52 and 42 apply for the same job and the employer selected the man age 42 . . . because he is younger than the man 52, then he will have violated the act . . .

113 Cong. Rec. 31,255 (1967). Thus, it is clear that Congress intended to include within the coverage of the ADEA claims based on the relative ages of members of the protected class. "[T]he ADEA protects older employees from discrimination on the basis of age, not just discrimination in favor of persons under the age of forty." *Roper v. Peabody Coal Co.*, 47 F.3d 925, 927 (7th Cir. 1995).

A regulation promulgated by the Equal Employment Opportunity Commission expressly states that:

It is unlawful in situations where this Act applies, for an employer to discriminate in hiring or in any other way by giving preference because of age between individuals 40 and over. Thus, if two people apply for the same position, and one is 42 and the other 52, the employer may not lawfully turn down either one on the basis of age, but must make such a decision on the basis of some other factor.

29 C.F.R. § 1625.2(a). Because the EEOC is the primary agency charged with implementing the ADEA, its interpretation is entitled to great deference. *Chevron, U.S.A.*,

*Inc. v. Natural Resources Defense Council*, 467 U.S. 837, 844 (1984).

There is not a scintilla of evidence in either the statute or its legislative history evincing an intention that an employer should be "insulated from liability for age discrimination when he chooses among people in the protected class." *Mayall v. Peabody Coal Co.*, 7 F.3d 570, 572 (7th Cir. 1993); see *Kralman v. Illinois Dept. of Veterans' Affairs*, 23 F.3d 150, 155 (7th Cir. 1994). The *O'Connor* decision, however, subverts the congressional purpose by turning the ADEA's shield against age discrimination for every older worker into a sword in the hands of employers to be used against many older workers who are discharged because of their age, through the simple artifice of hiring a replacement who is at least age 40.

**B. Requiring Plaintiffs To Prove Replacement By Someone Under Age 40 Essentially Eviscerates The Law's Protections For Workers In The Upper Ages Of The Protected Class.**

The practical consequences of dismissing age discrimination claims when a replacement is within the protected class cannot be ignored. "If no intra-age group protection were provided by the ADEA, it would be of virtually no use to persons at the upper ages of the protected class whose jobs require experience since even an employer with clear anti-age animus would rarely replace them with someone under 40." *Maxfield v. Sinclair Intern.*, 766 F.2d 788, 792 (3d Cir. 1985). Moreover, "a requirement that the replacement be from a nonprotected group fails to take the

reality of the working place into account." *Carter v. City of Miami*, 870 F.2d 578, 583 (11th Cir. 1989). That reality is:

Seldom will a sixty-year-old be replaced by a person in the twenties. Rather the sixty-year-old will be replaced by a fifty-five-year-old, who, in turn, is succeeded by a person in the forties, who will be replaced by a younger person. Eventually a person outside the class will be elevated but rarely to the position of the one fired. This is especially true in management and technical fields where knowledge and experience, the product of years, are necessary prerequisites to appointment of persons on high rungs of the corporate ladder.

*McCorstin v. United States Steel Corp.*, 621 F.2d 749, 754 (5th Cir. 1980).

In the work place, the most common type of age discrimination claim is one brought by a 57-year old who is terminated.<sup>13/</sup> Indeed, more than seventy-five percent of all age discrimination claims are discharge claims.<sup>14/</sup> The requirement of showing replacement by one outside the protected class would, therefore, effectively deny a remedy to those most frequently victimized by age discrimination. Further, as the population continues to age, the need to

<sup>13/</sup> Schuster and Miller, *An Empirical Assessment of the Age Discrimination in Employment Act*, 38 Indus. & Lab. Rev. 64 (Oct. 1984).

<sup>14/</sup> O'Meara, *Protecting the Growing Number of Older Workers: The Age Discrimination in Employment Act*, Labor Relations and Public Policy Series, at 26 (1989).

protect those older workers who elect to remain in the work force longer will only increase.

Although age is a "continuum along which the distinctions between employees are often subtle and relative," *Goldstein v. Manhattan Industries, Inc.*, 758 F.2d 1435, 1442 (11th Cir.), *cert denied*, 474 U.S. 1005 (1983), age, like race or gender, is an immutable and discreet characteristic in the sense that once a person attains the status of "older worker," that status is permanent. Moreover, the discharge of an employee because of his age is just as injurious to the older worker as the discharge of an African-American because of his race or of a woman on account of her sex. "That the person is replaced by a person ten years younger rather than twenty years does not diminish the discrimination; the subtlety only tends to disguise it." *McCorstin*, 621 F.2d at 754.

Further, replacement, even by an older employee, should not necessarily foreclose proof of a *prima facie* case, especially if as in this case, there is other direct or circumstantial evidence which supports an inference of discrimination. *Douglas v. Anderson*, 656 F.2d 528 (9th Cir. 1981); *see Jackson v. GTE Directories Service Corp.*, 734 F. Supp. 258, 267 (N.D. Tex. 1990). The older replacement could have been hired, for example, to deliberately mask discrimination in order to ward off a lawsuit. *See Loeb*, 600 F.2d at 1013 n. 9; *Byrd v. Roadway Express, Inc.*, 687 F.2d 85, 86 (5th Cir. 1982) (The fact that plaintiff "was replaced by a black does not necessarily negate the possibility that his treatment and discharge were motivated by racial discrimination.").

The civil rights laws protect the right of the individual employee to be free of invidious employment discrimination. These statutes do not permit employers to compromise this individual right by the non-discriminatory treatment of other employees in the protected class. *Connecticut v. Teal*, 457 U.S. 440 (1982). In the case of the ADEA, "Congress never intended favorable treatment of some members of a plaintiffs' age group to excuse discrimination against others." *Airline Pilots Ass'n v. Trans World Airlines*, 713 F.2d 940, 953 (2d Cir. 1983), *aff'd on other grounds sub. nom. Trans World Airlines, Inc. v. Thurston*, 474 U.S. 946 (1985). Thus, the employer's replacement of a terminated 56 year old employee with another employee who is 40 years old, as the Fourth Circuit found was done in this case, does not preclude the possibility that the termination of the 56 year old was based on age. The Fourth Circuit's contrary holding smacks of the "bottom line" analysis emphatically rejected by this Court in *Teal*, 457 U.S. at 454.

### III. BECAUSE OF ITS INSISTENCE ON THE MECHANISTIC APPLICATION OF ITS VERSION OF THE MCDONNELL DOUGLAS MODEL, THE COURT BELOW IMPROPERLY REJECTED PROBATIVE EVIDENCE SUFFICIENT TO ESTABLISH A *PRIMA FACIE* CASE

After finding that petitioner failed to satisfy the fourth element of its adaptation of *McDonnell Douglas* to ADEA discharge cases because his replacement was within the protected age group, the court then concluded that even under its less stringent reduction-in-force test, he also failed to

satisfy the fourth element because "O'Connor failed to demonstrate Consolidated did not treat age neutrally in discharging him." *O'Connor*, 56 F.3d at 547.<sup>15/</sup> The court also found that three ageist comments by his direct supervisor, all made within two months of O'Connor's discharge, were merely "stray remarks" which did not constitute direct evidence of age discrimination because there was no "nexus" between the remarks and the termination. *See Id.*, at 549-50.

The objective of the *prima facie* model is to permit the trier of fact to consider evidence relevant to the employer's intent and motivation in reaching a decision on the ultimate issue in the case. *United States Postal Service Board of Governors v. Aikens*, 460 U.S. 711, 716 (1983). Here, rather than examining the evidence in light of the ultimate question,

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<sup>15/</sup> Recently, the Seventh Circuit in *Gadsby v. Norwalk Furniture Corp.*, 1995 U.S. App. LEXIS 35229 (7th Cir. 1995), also declined to apply its strikingly similar, less stringent reduction-in-force adaptation of *McDonnell Douglas* to a discharge case, even though there is "no meaningful reason why the *prima facie* case in the situation where an employee is discharged and not replaced due to a reduction in force should be different from the situation where an employee is discharged and not replaced for some other reason." 1995 U.S. App. LEXIS 35229, at 34 (Flaum, Circuit Judge, concurring.). [Judge Flaum concurred because *Gadsby* had not sufficiently proven pretext. *Id.* at 41.].

Because of the dearth of evidence, *Gadsby* was forced to rely solely on the fact that his employer retained younger workers. The Seventh Circuit found such reliance misplaced because "[i]f that were enough, practically any terminated employee in the protected class could make out a *prima facie* case of age discrimination since most companies will retain at least some employees under age 40." *Id.*, at 26.

As discussed herein, there is much more evidence which is much more probative of discriminatory intent in the case below than in *Gadsby*.

the court below seemed constrained by a need to categorize and separately consider each piece of evidence and, in the case of the three ageist statements by Williams, O'Connor's supervisor, to label the evidence as direct or indirect. However, had the focus of the inquiry "not be[en] obscured by the blindered recitation of a litany," *Byrd v. Roadway Express, Inc.*, 687 F.2d 85, 86 (5th Cir. 1982), the court below might have recognized in the evidence presented sufficient indicia of age bias to meet the low *prima facie* threshold. Further, the court's rejection of Williams' statement that "O'Connor, you are too damn old for this kind of work," made two weeks before O'Connor's discharge during the period of reorganization leading up to his termination as not meeting the standard for direct proof,<sup>16/</sup> discredits evidence which could be relevant and powerful indicators of the employer's state of mind.<sup>17/</sup>

Indeed, statements indicative of bias against older employees need not even be contemporaneous with the alleged discrimination to be admissible. *See Lockhart v. Westinghouse Credit Corp.*, 879 F.2d 43, 54 (3d Cir. 1989) (Statement made seven months after the plaintiff's discharge

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<sup>16/</sup> Direct evidence of a stated purpose to discriminate "is evidence which, if believed, would prove the existence of a fact . . . without any inference or presumptions." *O'Connor*, 56 F.3d at 548, quoting *Bodenheimer v. PPG Indus., Inc.*, 5 F.3d 955, 958 (5th Cir. 1993).

<sup>17/</sup> If the quoted statement is not considered direct evidence, it along with the other two statements referring to O'Connor's age by O'Connor's supervisor - one of which was made two days before O'Connor was fired - interpreted in the light most favorable to petitioner, is circumstantial evidence from which discriminatory intent may be inferred. *See Alphin v. Sears, Roebuck & Co.*, 940 F.2d 1497, 1501 (11th Cir. 1991).

was admissible because the jury could reasonably conclude "that it was merely a cumulative statement of managerial policies that had been sanctioned or favored by top executives . . . for a considerable time."); *Neufeld v. Searle Laboratories*, 884 F.2d 335, 340 (8th Cir. 1989) (What the employer "said in March is certainly a good indication of what was on [the employer's] mind in February" where employee was discharged before management made statements indicative of age bias.); *Cooley v. Carmike Cinemas, Inc.*, 25 F.3d 1325, 1330 (6th Cir. 1994) (Statements made *ten years* earlier that decisionmaker did not "like to be around old people" and that old people (those over 30) "should be confined to a concentration camp" held admissible.)

In the present case, in addition to two other statements made around that same time, only *two days* before O'Connor's discharge, his supervisor remarked that "[i]t's about time we get some young blood in this company." *O'Connor*, 56 F.3d at 549. Incredibly, the court below held the remark inadmissible because "[t]his apparently humorous comment is not probative of age discrimination." *Id.* Whether intended as a joke or not, however, such statements can raise an inference of age discrimination. *Rollins v. Tech-South, Inc.*, 833 F.2d 1525, 1530 (11th Cir. 1987); *Dickson v. Amoco Performance Products*, 69 Fair Empl. Prac. Cas. (BNA) 228, 231 (N.D. Ga. 1994).

In *Futrell v. J. I. Case*, 38 F.3d 342 (7th Cir. 1994), the court of appeals severely admonished the district court for doing precisely what the Fourth Circuit has done in this case - discounting the value of several pieces of evidence, including ageist remarks, by separately considering the weight of each

piece rather than considering the evidence as a whole. However, the benchmark against which the court must always measure the evidence is whether it is relevant to the employer's intent. For example, in *Brom v. Bozell, Jacobs, Kenyon & Eckhardt*, 827 F. Supp. 686 (N.D. Ill. 1994), the court ruled as relevant a supervisor's statement that "people feel they want younger people on the account" because the statement related to the employer's perceptions about appropriate staffing decisions, particularly when the plaintiff was replaced by a younger person. Ageist statements such as those at issue in this case should not be rejected out of hand based on the defendant's characterization of them as "ambiguous." They are not at all ambiguous to a discharged older worker like O'Connor who was fired two days after his supervisor said that "[i]t's about time we get some young blood in this company."<sup>14</sup>

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<sup>14</sup>The skepticism of the court below regarding the admissibility of the statements at issue in this case possibly can be traced to the rationale of Chief Judge Haynesworth in *Smith v. Flax*, 618 F.2d 1062, 1066 (4th Cir. 1980), who rejected statements indicating that a company's future lies with its young as evidence of a discriminatory purpose as follows:

In any enterprise, today's juniors will be tomorrow's seniors. Today's seniors can help create a foundation for tomorrow's growth and prosperity, but future realization of the potential of an enterprise lies principally with those who will be in positions of leadership and responsibility in the future.

While such sentiments may be appropriate in a commencement address, they reflect a bias which the age discrimination law condemns. While the natural order in the work place may be that younger workers ultimately replace older workers for legitimate reasons related to job performance, the firing of older workers *because of their age* cannot be allowed to play any part in that process.

**CONCLUSION**

In its ritualistic adherence to its requirement of a showing of replacement by a person outside the protected age group in order to satisfy the fourth element of the *prima facie* case, the court below failed to heed this Court's admonitions that the *McDonnell Douglas* framework must be applied flexibly in order to provide a day in court for victims of age discrimination. In rejecting both direct and circumstantial evidence of discriminatory intent as failing to make out a *prima facie* case under any standard, the court failed to properly evaluate such evidence. For these reasons, the decision of the court below must be reversed.

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